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INTER DISCIPLINARY PROJECT

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We would like to express our sincere gratitude to everyone who helped us in completing our

➤ **Inter Disciplinary Project** ➤

➤ **History Portfolio** ➤

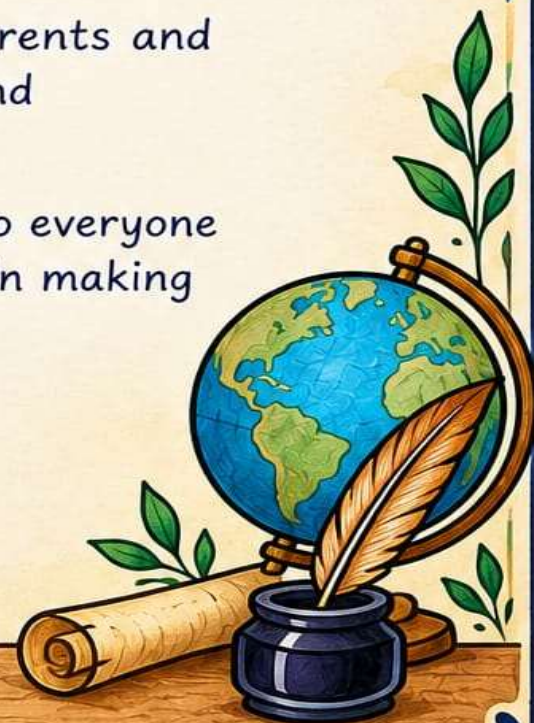
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INDEX



S. No.	CONTENT
1.	Introduction
2.	Need for a Post-War Settlement
3.	Economic Problems after World War II
4.	Bretton Woods Conference – 1944
5.	Objectives of the Bretton Woods System
6.	Formation and Role of IMF
7.	Functions of IMF
8.	Formation and Role of World Bank
9.	Functions and Importance of World Bank
10.	Weakening of the Bretton Woods System
11.	Collapse of the Bretton Woods System in the 1970s
12.	Growth of International Trade and Investment
13.	Rise of Multinational Corporations and Globalisation
14.	Conclusion
15.	Bibliography





INTRODUCTION



The Bretton Woods system was established in the aftermath of World War II to create a stable and prosperous international economic order. The devastation caused by the war had left many countries with severe economic challenges, and there was a strong need for cooperation, financial stability and growth.

This system, built on the Bretton Woods Conference of 1944, laid the foundation for the International Monetary Fund (IMF) and the World Bank. It aimed to promote international trade, ensure currency stability and support economic development across nations. The Bretton Woods system played a crucial role in shaping the global economy and continues to influence international financial institutions even today.





Need for a Post-War Settlement



The Second World War (1939–1945) caused massive destruction and suffering across the world. When the war ended, the global economy was in ruins, millions were displaced, and there was widespread poverty and instability. It became clear that the world needed a new international arrangement to bring peace, rebuild economies and prevent future conflicts.



Key Reasons:

- **Reconstruction of war-torn economies** – Countries needed financial support and stability to rebuild their industries, infrastructure and trade.
- **Prevention of future conflicts** – The devastation of the war showed the dangers of economic depression, nationalism and lack of cooperation.
- **Restoration of international trade** – Global trade had collapsed during the war, and it was essential to revive it for economic growth.
- **Creation of a stable monetary system** – The collapse of the gold standard and currency instability created financial chaos, so a new system was needed.
- **Promotion of international cooperation** – The world needed an organisation to bring countries together and solve common problems.

Thus, a post-war settlement was essential for peace, prosperity and long-term stability in the world.





Economic Problems after World War II



1. Destruction of Physical Infrastructure

- Wars had caused massive destruction of cities, industries, transport systems and agricultural lands.
- Factories, bridges, railways and ports were in ruins, reducing the productive capacity of many countries.



2. Economic Instability

- Many countries faced severe inflation, currency depreciation and balance of payments problems.
- The value of money lost stability and there was shortage of essential goods.

3. Unemployment and Lost Workforce

- Many people, especially soldiers and industrial workers, lost their jobs.
- The return of millions of soldiers to civilian life created additional pressure on the job market.



4. Food Shortages

- Agriculture was affected due to destruction, loss of farmers and lack of fertilisers and machinery.
- Many countries faced famine and shortage of basic food supplies.

5. Trade and Financial Disruptions

- International trade collapsed due to the destruction of shipping and the decline in global demand.
- Many countries had heavy debts and lacked foreign exchange reserves.



6. Rising Economic Inequality

- The war benefited a few industrial countries, while many developing nations remained poor.
- There was a wide gap between rich and poor countries, both within and between nations.





Bretton Woods Conference – 1944



1. What was it?

- The Bretton Woods Conference was an international monetary and financial conference held in July 1944 in Bretton Woods, New Hampshire, USA.
- It was attended by 44 nations including the major Allied powers.



Delegates at the Bretton Woods Conference

2. Main Participants

- United States – Franklin D. Roosevelt
- United Kingdom – Winston Churchill
- France – Charles de Gaulle
- 42 other Allied nations



3. Purpose

- To create a stable international monetary system.
- To promote post-war economic reconstruction and development.
- To prevent a repeat of the economic crises of the 1930s.

4. Key Decisions

- Establishment of the International Monetary Fund (IMF) to ensure currency stability and provide short-term financial assistance.
- Establishment of the International Bank for Reconstruction and Development (World Bank) to support long-term reconstruction and development.



5. Outcome

- Led to the creation of two key institutions – IMF and World Bank.
- Laid the foundation for the Bretton Woods System, which fixed the value of currencies to the US dollar and linked it to gold.
- Helped in rebuilding war-torn economies and promoting global economic cooperation.

6. Significance

- Brought stability to the international financial system.
- Encouraged trade and economic growth.
- Helped in reducing poverty and supporting development in many countries.





Objectives of the Bretton Woods System



1 Promote International Monetary Stability

- To maintain stable exchange rates and a fixed value of currencies, especially the US dollar, to reduce uncertainty in the global economy.



2 Facilitate International Trade

- To remove trade barriers, reduce restrictions and encourage the free flow of goods and services across countries.



3 Provide Financial Support for Reconstruction

- To help rebuild war-torn economies by providing short- and long-term financial assistance, especially through the IMF and World Bank.



4 Encourage Economic Growth and Development

- To promote long-term economic stability, reduce poverty and support the development of member countries.



5 Ensure a Multilateral Cooperation Framework

- To establish a system of cooperation among nations to address global economic challenges and prevent future crises.



Stability • Trade • Development • Cooperation



Formation and Role of IMF



Formation

- The International Monetary Fund (IMF) was established in 1944 at the Bretton Woods Conference in New Hampshire, USA.
- It came into existence in 1945, with 29 member countries, with its headquarters in Washington D.C., USA.
- It was created as a part of the Bretton Woods Agreement, along with the World Bank.



29 countries → IMF

Role of IMF



1. Financial Assistance

- Provides short-term loans to countries facing balance of payments problems, helping them stabilise their economies.



2. Economic Surveillance

- Monitors the global economy and member countries' economic policies to ensure stability.



3. Policy Advice and Technical Assistance

- Offers guidance and expertise on economic, financial and structural reforms.



4. Promoting International Cooperation

- Encourages cooperation among countries to promote trade, investment and sustainable growth.



5. Stability of the Global Financial System

- Works to maintain a stable international monetary system and reduce the risk of financial crises.



INTERNATIONAL
MONETARY FUND

*"Stronger economies
for a more stable
world"*



Stability • Support • Shared Prosperity



FUNCTIONS OF IMF

(INTERNATIONAL MONETARY FUND)



The International Monetary Fund (IMF) is a global organisation that works to ensure the stability of the international monetary system, promote sustainable economic growth and reduce poverty around the world.

KEY FUNCTIONS OF IMF

1

Providing Financial Assistance

Offers short-term loans to countries facing balance of payments problems or economic crises.



2

Maintaining Global Financial Stability

Monitors the international monetary system and helps prevent financial crises.



3

Surveillance and Policy Advice

Analyzes the economic policies of member countries and provides recommendations for sound economic management.



4

Promoting International Cooperation

Encourages collaboration among countries on trade, finance and economic policies.



5

Supporting Economic Reforms

Helps countries implement structural and policy reforms to achieve long-term economic stability and growth.



6

Building Capacity

Provides technical assistance and training to strengthen institutions and improve economic management.



7

Reducing Poverty and Supporting Sustainable Growth

Works with other development partners to promote inclusive and sustainable economic development.





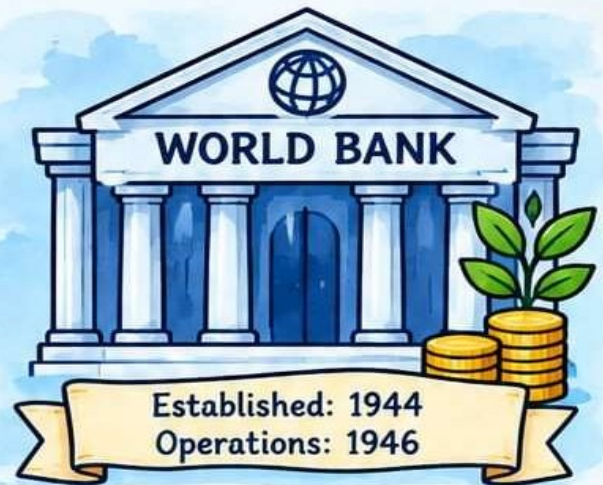
Formation and Role of World Bank



WORLD BANK
IBRD · IDA

Formation

- The International Bank for Reconstruction and Development (IBRD), the original World Bank, was established in 1944 at the Bretton Woods Conference, New Hampshire, USA.
- It began operations in 1946 with 38 member countries.
- Later, the International Development Association (IDA) was created in 1960 to support poorer countries.



Role of World Bank

- **Financial Support**
 - Provides loans, grants and technical assistance for development projects and programmes.
- **Promote Economic Growth**
 - Helps countries build infrastructure, improve productivity and create jobs.
- **Reduce Poverty**
 - Supports education, healthcare, agriculture and social development to improve living standards.
- **Encourage Sustainable Development**
 - Promotes environmentally friendly and climate-resilient growth.
- **Provide Knowledge and Expertise**
 - Shares research, data and best practices to help countries design better policies.
- **Support Global Development Goals**
 - Works with governments, NGOs and private sector to achieve long-term and inclusive growth.

In Short...

"The World Bank helps countries build a stronger, more prosperous and more sustainable future."



Stronger
Economies
Brighter Futures





The World Bank is an international financial institution, established in 1944, that provides financial and technical assistance to developing countries to reduce poverty and promote sustainable development.

FUNCTIONS OF WORLD BANK

IMPORTANCE OF WORLD BANK

1 Provides Financial Assistance

Offers loans, grants and other financial support for development projects and programs.



2 Supports Economic Development

Helps countries build stronger economies, create jobs and reduce poverty.



3 Provides Technical Assistance

Offers expertise and advice in areas such as policy, governance, health, education and infrastructure.



4 Builds Infrastructure

Funds and supports projects like roads, bridges, power, water and sanitation.



5 Promotes Sustainable Development

Encourages environmentally friendly and socially inclusive growth.



6 Provides Knowledge and Research

Conducts studies and shares data to help countries make better policy decisions.



7 Supports Global Cooperation

Works with governments, NGOs, private sector and other partners to achieve shared goals.



1 Reduces Poverty

Helps lift millions of people out of poverty by supporting inclusive economic growth.



2 Promotes Economic Growth

Strengthens economies by investing in key sectors like agriculture, industry and services.



3 Improves Living Standards

Enhances access to quality education, healthcare, clean water and sanitation.



4 Builds Stronger Infrastructure

Supports roads, energy, water and digital connectivity, which create long-term opportunities.



5 Encourages Sustainable and Inclusive Development

Balances economic progress with environmental protection and social equity.



6 Supports Global Stability

Helps countries manage economic risks and build resilience to future shocks.



7 Creates Opportunities for Future Generations

Invests in people, places and policies for a more prosperous and sustainable world.



A Stronger Economy • A Healthier Planet • A Brighter Future





Weakening of the Bretton Woods System



Introduction

The Bretton Woods System, established in 1944, was built on fixed exchange rates and the U.S. dollar's convertibility into gold. However, by the late 1960s and early 1970s, the system began to face serious challenges, leading to its weakening.



Key Factors Behind the Weakening

1

U.S. Balance of Payments Deficits

- The U.S. ran persistent trade and budget deficits.
- This led to a large outflow of dollars, reducing confidence in the dollar's convertibility into gold.



2

Decline in U.S. Gold Reserves

- Due to rising foreign dollar holdings and overseas investments, U.S. gold reserves decreased.
- This raised doubts about the ability to maintain the \$35 per ounce convertibility.



3

Speculation in Foreign Exchange Markets

- Growing financial markets and speculative activities increased pressure on the fixed exchange rate system.
- Investors began to doubt the stability of the system.



4

Economic and Political Changes

- The U.S. faced economic problems such as inflation and recession.
- The Vietnam War and social unrest also weakened the U.S. economy and its ability to support the system.



5

Increased International Liquidity and Capital Mobility

- Growth in international trade and capital flows made the fixed exchange rate system harder to maintain.
- Countries demanded greater flexibility in exchange rates.



6

Gold's Limited Role

- The fixed price of gold made it difficult to adjust to changing economic conditions.
- Countries started to prefer more flexible monetary systems.



Result

- All these factors gradually weakened the Bretton Woods System, and in 1971, the U.S. formally ended the dollar's convertibility into gold, marking the collapse of the system.





Collapse of the Bretton Woods System in the 1970s



Introduction

The Bretton Woods System, which had maintained a stable international monetary order since 1944, began to break down in the 1970s. The system's collapse marked the end of the fixed exchange rate regime and the transition to a floating exchange rate system.



Key Reasons for the Collapse

1 U.S. Balance of Payments Deficits



The U.S. ran persistent trade and budget deficits, leading to a decline in gold reserves.

2 Rise in Global Dollar Supply



The U.S. increased the supply of dollars abroad, creating inflationary pressures.

3 Speculative Attacks and Loss of Confidence



Foreign countries and investors lost confidence in the dollar's ability to remain convertible to gold.

4 Economic and Political Instability



The Vietnam War, energy crisis and rising inflation created further pressure on the U.S. economy.

5 Increased Demand for Gold



Central banks and investors started demanding more gold, reducing confidence in the fixed system.

Major Events Leading to the Collapse

1971



U.S. President Richard Nixon suspended the dollar's convertibility to gold (August 1971).

1973



The Bretton Woods system formally ended in 1973, and major currencies moved to floating exchange rates.

1976



The IMF recognized the end of the fixed exchange rate system and accepted a new framework.

Late 1970s



Currencies were allowed to float, and the world moved to a more flexible monetary system.

Consequences



End of fixed exchange rates

Currencies began to float based on market forces.



Greater exchange rate volatility

Increased uncertainty in global financial markets.



Rise of financial markets

More room for speculation and financial innovation.



Shift towards globalisation

Paved the way for liberalisation, trade growth and integration of economies.



In Conclusion

The collapse of the Bretton Woods System in the 1970s ended the era of fixed exchange rates and laid the foundation for the modern global financial system.





Growth of International Trade and Investment



Introduction

The growth of international trade and investment refers to the rapid increase in the exchange of goods, services, capital and resources across countries. This growth became possible due to stable monetary systems, reduced trade barriers and the expansion of global institutions after World War II.



Key Drivers of Growth



Liberalisation of Trade

- Reduction of tariffs and trade barriers.
- Formation of trade agreements (e.g. GATT, WTO).



Foreign Direct Investment (FDI)

- Multinational companies expanded globally.
- Investment in infrastructure, industry and services.



Technological Advancements

- Improved transport and communication.
- Faster, cheaper movement of goods and information.



Economic Cooperation and Institutions

- IMF, World Bank, WTO and regional trade blocs.
- Provided stability and support for international trade.



Globalisation

- Growing integration of economies.
- Increased cross-border business and supply chains.

Major Trends



Rise in Global Trade

- World trade expanded significantly from 1950s onwards.
- Manufactured goods and services played a larger role.



Increase in Foreign Direct Investment

- Developed and developing countries attracted more FDI.
- Growth in multinational corporations (MNCs).



Expansion of Global Supply Chains

- Production spread across multiple countries.
- Greater efficiency and lower costs.



Growth in Trade in Services

- Finance, IT, tourism, healthcare and education became major sectors.
- Digital trade and e-commerce rose rapidly.

Impact



Economic Growth

- Higher GDP and employment opportunities.
- Increased income levels.



Innovation and Technology Transfer

- Sharing of knowledge and skills.
- Improved productivity.



Development of Emerging Economies

- Access to new markets.
- Reduced poverty and regional development.



Greater Interdependence

- Countries became more connected and reliant on each other.
- Increased resilience to global challenges.

Conclusion



The growth of international trade and investment has played a vital role in shaping the modern global economy. It has created opportunities, driven development and connected nations, making the world more interdependent and prosperous.

More Trade
More Investment
A Stronger
Global Economy



Rise of Multinational Corporations and Globalisation



Introduction

The end of the Bretton Woods era and the growth of international trade and investment paved the way for the rise of multinational corporations (MNCs) and the process of globalisation. These developments have transformed the world economy by increasing cross-border business activities and connecting markets, people and resources across the globe.



Rise of Multinational Corporations



Expansion Across Borders

- MNCs operate in multiple countries.
- Set up subsidiaries, joint ventures and overseas branches.



Search for Resources & Markets

- Access to cheaper raw materials.
- Larger consumer markets and higher profits.



Technological Advancement

- Better communication, transport and logistics.
- Easier coordination of global operations.



Global Supply Chains

- Production spread across different countries.
- Increased efficiency and lower costs.



Global Brands and Influence

- MNCs created well-known global brands.
- Increased influence on economies and policies.

Globalisation



- Globalisation refers to the increasing integration of economies, societies and cultures across the world.
- It involves the free flow of goods, services, capital, information and people.
- Driven by MNCs, technology and liberalised trade policies, it has reduced barriers between countries.

Key Features of Globalisation



Trade Liberalisation

- Reduced tariffs and non-tariff barriers.
- Increased cross-border trade.



Global Financial Integration

- Flow of capital across borders.
- Growth of international financial markets.



Movement of People

- Migration for work, education and opportunities.
- Growth of international tourism.



Spread of Information & Technology

- Internet and digital communication.
- Faster exchange of knowledge and ideas.



Cultural Exchange

- Sharing of values, lifestyles and traditions.
- Greater understanding among nations.

Conclusion



The rise of multinational corporations and globalisation has created a more interconnected and interdependent world. While it has brought economic growth, innovation and new opportunities, it also poses challenges such as inequality, environmental concerns and dependence on global markets.



*A
More Connected
World*



CONCLUSION



The Overall Impact

The Bretton Woods System, the International Monetary Fund (IMF), and the World Bank played a crucial role in shaping the modern global economy. They provided a framework for international cooperation, financial stability and economic development in the post-World War II era. Their efforts helped rebuild economies, encouraged trade and investment, and laid the foundation for a more connected and interdependent world.



Key Learnings

- The Bretton Woods System established a stable monetary and financial framework, though it faced challenges over time.
- The IMF and World Bank remain vital in promoting global economic stability and development.
- The collapse of the Bretton Woods System in the 1970s led to greater flexibility in the global financial system.
- The growth of international trade, investment, multinational corporations and globalisation has increased economic interdependence and opportunities worldwide.



Final Thoughts

The journey from the Bretton Woods System to globalisation shows how nations, institutions and businesses have worked together to build a more stable, prosperous and connected world. While challenges remain, the legacy of the IMF, World Bank and the global system continues to shape economic policies and opportunities for future generations.



**“A stronger global economy
builds a brighter future for all.”**



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*Knowledge
Builds a
Better
Tomorrow*



Other Sources

1. Journals and research papers on international economics and globalisation.
2. Newspaper articles and reports from reliable sources (e.g., The Economic Times, The Hindu, Financial Times).

Thank You

I would like to express my sincere gratitude to my teachers, who guided and supported me throughout this project. Their valuable suggestions, encouragement and belief in my abilities helped me complete this work successfully.

Thank you!

